

The Structural Turnaround of India's Power Discoms

EXECUTIVE SUMMARY

India's power distribution companies have long been the weak link in the country's infrastructure story — a persistent drain on capital that carried real contagion risk for the banking sector and upstream generators. Against that backdrop, the FY25 numbers are notable: state-run discoms collectively posted a positive PAT of ₹2,701 crore, against a loss of ₹67,962 crore a decade earlier. This is not a one-off accounting quirk. It reflects tighter prudential norms, targeted capex, and enforced working capital discipline over several years. This note walks through the three-statement mechanics behind the turnaround and the valuation re-rating it is triggering across the power value chain.

1. The Income Statement: Closing the ACS-ARR Gap

The single most important solvency metric for a distribution utility is the gap between the Average Cost of Supply (ACS) and the Average Revenue Realized (ARR). Discoms have historically bought power at a premium and sold it at a subsidized loss — a structural negative gross margin on every unit distributed.

That gap stood at ₹0.78 per unit in FY14; across billions of units sold annually, this compounded into substantial operating losses. By FY25, tariff rationalization and more timely cost pass-throughs had narrowed the gap to just ₹0.06 per unit — close to full cost recovery. Two regulatory changes drove this: amendments to the Electricity Rules removed states' ability to freeze tariffs indefinitely for political reasons, enabling automatic fuel surcharge adjustments that protect EBITDA from commodity swings; and states can no longer run unfunded subsidy mandates — if a state wants to subsidize agricultural or residential power, it must fund that transfer to the discom's balance sheet upfront, which moves the subsidy burden off the discom's P&L and onto the state fiscal deficit instead.

2. Balance Sheet and Liquidity: Fixing the Working Capital Chain

Prior to 2022, discoms routinely funded their own losses by delaying payments to upstream generation companies (gencos), building up a large trade-payables overhang and starving gencos of working capital in the process.

The Late Payment Surcharge (LPS) Rules changed the incentive structure meaningfully — penalizing delayed payments and threatening exchange access for repeat defaulters. Outstanding legacy dues to gencos fell roughly 96%, from ₹1.39 trillion in 2022 to ₹4,927 crore by early 2026, and average days payable outstanding dropped from 178 days in FY21 to 113 days in FY25. This required discoms to source short-term liquidity initially, but it permanently cleaned up the liability side of the balance sheet by eliminating high-cost penal liabilities — and it has materially reduced the risk of discom-related NPAs bleeding into the banking system and specialized lenders like PFC and REC.

3. CapEx and Operating Leverage: Closing Out AT&C Losses

Pricing power alone cannot fix a poorly performing distribution network — theft, unbilled power, and grid inefficiencies show up in the Aggregate Technical and Commercial (AT&C) loss metric.

The Revamped Distribution Sector Scheme (RDSS) tied fresh capital access to specific operational milestones, pushing discoms into accretive capex — smart metering being the clearest example, as shifting consumers from postpaid to prepaid eliminates collection risk outright. The national AT&C loss average fell from 22.62% in FY14 to 15.04% in FY25, a 750bps improvement that flows almost entirely to the bottom line, since the underlying power was already generated and paid for — it simply was not being billed previously. This single lever is the primary driver behind the sector's FY25 PAT.

4. Valuation Contagion Across the Power Value Chain

Within the power sector's financial ecosystem, the discom is effectively the collection point — the place where cash actually flows in from the end consumer. When that point of the chain was broken, the entire upstream sector traded at a discount for counterparty credit risk. The turnaround is now flowing through in three distinct ways: upstream generators such as NTPC and Tata Power, previously burdened by receivables bloat, are seeing stronger free cash flow generation now that discoms pay within 113 days, supporting lower cost of equity and higher P/E multiples; state financiers like PFC and REC, with large discom-exposed loan books, are seeing provisioning requirements fall as default probability declines, which supports ROE and P/B expansion; and financially healthier discoms are now able to fund new tenders for grid upgrades, transformers, and smart metering — multi-year order book visibility for capital goods manufacturers and EPC contractors.

Conclusion

The FY25 profitability of India's power discoms is a genuine inflection point in infrastructure finance. Between RDSS-funded capex, LPS-enforced payment discipline, and an ACS-ARR gap narrowed to six paise per unit, the sector has moved from a chronic destroyer of capital to a contributor to capital formation. For investors and project financiers, the removal of the "discom risk premium" lowers the effective cost of capital across the Indian energy transition and should support faster private investment into renewables and next-generation grid infrastructure.